

1 ENGROSSED HOUSE  
2 BILL NO. 3647

By: Stinson, Archer, and Newton  
of the House

3 and

4 Rosino of the Senate  
5  
6

7 [ health information - Oklahoma Health Care  
8 Transparency Initiative Act of 2026 - Office of the  
9 State Coordinator for Health Information Exchange -  
10 powers and duties of the Office - state-designated  
11 entity for health information exchange -  
12 requirement - exemptions - Oklahoma Health Care  
13 Transparency Initiative - governance and oversight  
14 - compliance - public health data - unique  
15 identifier - confidentiality, privacy, and security  
16 of data - penalties - remittance or mitigation of  
17 penalties - Insurance Department - proceeds -  
18 Oklahoma Health Care Authority - allowed uses of  
19 funds - Health Care Cost Transparency Board -  
20 Oklahoma Open Records Act - codification ]  
21  
22  
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1 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

2 SECTION 1. NEW LAW A new section of law to be codified  
3 in the Oklahoma Statutes as Section 1-134.1 of Title 63, unless  
4 there is created a duplication in numbering, reads as follows:

5 Sections 4 through 7 of this act shall be known and may be cited  
6 as the "Oklahoma Health Care Transparency Initiative Act of 2026".

7 SECTION 2. AMENDATORY Section 1, Chapter 250, O.S.L.  
8 2022 (63 O.S. Supp. 2025, Section 1-132.1), is amended to read as  
9 follows:

10 Section 1-132.1. A. There is hereby created the Office of the  
11 State Coordinator for Health Information Exchange within the  
12 Oklahoma Health Care Authority.

13 B. The Office shall have the power and duty to ~~oversee~~:

14 1. Oversee the designation of the state-designated entity for  
15 health information exchange, as described under Section 1-133 of  
16 ~~Title 63 of the Oklahoma Statutes~~ this title; and

17 2. Oversee the enforcement of the Oklahoma Health Care  
18 Transparency Initiative.

19 C. The Office shall consist of the State Coordinator for Health  
20 Information Exchange, who shall be appointed by and serve at the  
21 pleasure of the Administrator of the Authority, and such other  
22 employees of the Authority as the Administrator may assign to the  
23 Office.

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SECTION 3. AMENDATORY 63 O.S. 2021, Section 1-133, as last amended by Section 1, Chapter 243, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-133), is amended to read as follows:

Section 1-133. A. As used in this section:

1. "Health information exchange" means the electronic movement of health-related information among organizations according to nationally recognized standards for purposes including, but not limited to, payment, treatment, and ~~administration~~ operations; and

2. "Health information exchange organization" means an entity whose primary business activity is health information exchange and which is governed by its stakeholders.

B. The State of Oklahoma~~+~~

~~1. Shall~~ shall designate a health information exchange organization as the state-designated entity for health information exchange~~;~~

~~2. Shall establish a transition plan to ensure continued operation of the health information exchange; and~~

~~3. May temporarily serve as the state-designated entity as part of the transition plan described in paragraph 2 of this subsection.~~

C. ~~Beginning July 1, 2023, all~~ All health care providers as defined by the rules promulgated by the Oklahoma Health Care Authority Board and who are licensed by and located in this state may report data to and utilize the state-designated entity.~~The Office of the State Coordinator for Health Information Exchange may,~~

1 ~~as provided by rules promulgated by the Board, allow exemptions from~~  
2 ~~the requirement provided by this subsection on the basis of~~  
3 ~~financial hardship, size, or technological capability of a health~~  
4 ~~care provider or such other bases as may be provided by rules~~  
5 ~~promulgated by the Board.~~ The Office of the State Coordinator for  
6 Health Information Exchange shall begin implementation of this  
7 program on or before July 1, 2027.

8 D. 1. A person who participates in the services or information  
9 provided by the state-designated entity shall not be liable in any  
10 action for damages or costs of any nature that result solely from  
11 the person's use or failure to use information or data from the  
12 state-designated entity that was entered or retrieved under relevant  
13 state or federal privacy laws, rules, regulations, or policies  
14 including, but not limited to, the Health Insurance Portability and  
15 Accountability Act of 1996.

16 2. A person shall not be subject to antitrust or unfair  
17 competition liability based on participation with the state-  
18 designated entity as long as the participation provides an essential  
19 governmental function for the public health and safety and enjoys  
20 state action immunity.

21 ~~E. A person who provides information and data to the state-~~  
22 ~~designated entity retains a property right in the information or~~  
23 ~~data, but grants to the other participants or subscribers a~~  
24 ~~nonexclusive license to retrieve and use that information or data~~

~~under relevant state or federal privacy laws, rules, regulations, or policies including, but not limited to, the Health Insurance Portability and Accountability Act of 1996.~~

~~F. E.~~ Patient-specific protected health information shall only be disclosed in compliance with relevant state or federal privacy laws, rules, regulations, or policies including, but not limited to, the Health Insurance Portability and Accountability Act of 1996.

~~G. F.~~ The Oklahoma Health Care Authority Board shall promulgate rules to implement the provisions of this section.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1-134.2 of Title 63, unless there is created a duplication in numbering, reads as follows:

As used in the Oklahoma Health Care Transparency Initiative Act of 2026:

1. "Board" means the Oklahoma Health Care Authority Board;

2. "Claims data" means information, including protected health information, included in an institutional, professional, or pharmacy claim or equivalent information transaction for a covered individual including the amount paid to a provider of health care services plus any amount owed by the covered individual;

3. "Covered individual" means a natural person who is a resident of this state and is eligible to receive medical, dental, or pharmaceutical benefits under any policy, contract, certificate,

1 evidence of coverage, rider, binder, or endorsement that provides  
2 for or describes coverage;

3 4. "Direct personal identifiers" means the identifiers of  
4 covered individuals listed in 45 C.F.R., Section 164.514(b)(2) that  
5 shall be removed in order for protected health information to be  
6 considered de-identified under the Health Insurance Portability and  
7 Accountability Act of 1996, such as the individual's name, street  
8 address, email address, telephone number, or Social Security number.  
9 Direct personal identifiers include geographic or demographic  
10 information that would allow the identification of a covered  
11 individual;

12 5. "Enrollment data" means demographic information and other  
13 identifying information related to covered individuals, including  
14 direct personal identifiers and protected health information;

15 6. "Health plan" has the same meaning as defined in Section  
16 6060.4 of Title 36 of the Oklahoma Statutes;

17 7. "HIPAA" means the Health Insurance Portability and  
18 Accountability Act of 1996, Pub. L. No. 104-191, and its  
19 implementing regulations set forth in 45 C.F.R., Parts 160, 162, and  
20 164;

21 8. "Limited data set" means the definition set forth in 45  
22 C.F.R., Section 164.514(e)(2);  
23  
24

1        9. "Office" means the Office of the State Coordinator for  
2 Health Information Exchange created under Section 1-132.1 of Title  
3 63 of the Oklahoma Statutes;

4        10. "Oklahoma Health Care Transparency Initiative" means an  
5 initiative to create a database, including ongoing all-payer claims  
6 database projects that receive and store data from a submitting  
7 entity relating to medical, dental, pharmaceutical, and other  
8 insurance claims information, unique identifiers, and geographic and  
9 demographic information for covered individuals as permitted in the  
10 Oklahoma Health Care Transparency Initiative Act of 2026, and  
11 provider files, for the purpose of implementing the Oklahoma Health  
12 Care Transparency Initiative Act of 2026;

13        11. "Protected health information" means the same as defined by  
14 the Health Insurance Portability and Accountability Act of 1996,  
15 Pub. L. No. 104-191, including 45 C.F.R., Section 160.103;

16        12. "Provider" means "health care provider" as defined by  
17 HIPAA, including 45 C.F.R., Section 160.103, licensed by the state  
18 to provide health care services;

19        13. "State-designated entity for health information exchange"  
20 or "state-designated entity" means the health information exchange  
21 organization designated by the State of Oklahoma as the state-  
22 designated entity for health information exchange under Section 1-  
23 133 of Title 63 of the Oklahoma Statutes;

24        14. a. "Submitting entity" means:

- (1) an entity that provides health or dental insurance or a health or dental benefit plan in this state, including, but not limited to, an insurance company, medical services plan, managed care organization, hospital plan, hospital medical service corporation, health maintenance organization, fraternal benefit society, or other health plan, provided that the entity has covered individuals and the entity had at least two thousand covered individuals in the previous calendar year,
- (2) a health benefit plan offered or administered by or on behalf of the state or an agency or instrumentality of the state, including, but not limited to, benefits administered by a managed care organization, notwithstanding the number of covered individuals in the previous year,
- (3) a health benefit plan offered or administered by or on behalf of the federal government with the agreement of the federal government,
- (4) any other entity providing a plan of health insurance or health benefits subject to state insurance regulation, or a third-party administrator; provided, that the entity has



1 covered individuals and the entity had at least  
2 two thousand covered individuals in the previous  
3 calendar year,

4 (5) a health benefit plan subject to the Employee  
5 Retirement Income Security Act of 1974, Pub. L.  
6 No. 93-406, and that is fully insured,

7 (6) a risk-based provider organization licensed by  
8 the Insurance Department,

9 (7) any entity that contracts with the Department of  
10 Corrections to provide medical, dental, or  
11 pharmaceutical care to inmates, and

12 (8) a pharmacy benefits manager, and

13 b. A submitting entity shall not include:

14 (1) an entity that provides health insurance or a  
15 health benefit plan that is accident-only,  
16 specified disease, hospital indemnity, long-term  
17 care, disability income, or other supplemental  
18 benefit coverage,

19 (2) an employee of a welfare benefit plan as defined  
20 by federal law that is also a trust established  
21 pursuant to collective bargaining subject to the  
22 Labor Management Relations Act of 1947, Pub. L.  
23 No. 80-101, or  
24

1 (3) a Medicare supplemental policy as defined by 42  
2 C.F.R., Section 403.205; and

3 15. "Unique identifier" means any identifier that is guaranteed  
4 to be unique among all identifiers for covered individuals but does  
5 not include direct personal identifiers and meets the requirements  
6 of 45 C.F.R., Section 164.514(c).

7 SECTION 5. NEW LAW A new section of law to be codified  
8 in the Oklahoma Statutes as Section 1-134.3 of Title 63, unless  
9 there is created a duplication in numbering, reads as follows:

10 A. Beginning July 1, 2027, there is hereby created the Oklahoma  
11 Health Care Transparency Initiative. The initiative shall be  
12 governed by the state-designated entity for health information  
13 exchange and enforced by the Office of the State Coordinator for  
14 Health Information Exchange.

15 B. Beginning on a date determined by the Oklahoma Health Care  
16 Authority Board, and thereafter in a frequency specified in rules  
17 promulgated by the Board, a submitting entity shall submit claims  
18 data, unique identifiers, and geographic and demographic information  
19 for covered individuals as permitted in the Oklahoma Health Care  
20 Transparency Initiative Act of 2026, and provider files to the  
21 state-designated entity for health information exchange in  
22 accordance with standards and procedures promulgated by the Board  
23 and in accordance with the data governance policies established by  
24

1 the state-designated entity. The Office shall begin implementation  
2 of the requirements of this subsection on or before July 1, 2027.

3 C. 1. A health benefit plan, person, or entity excluded from  
4 the definition of submitting entity as provided by Section 4 of this  
5 act shall not be subject to the requirements of subsection B of this  
6 section, but may voluntarily submit claims data, unique identifiers,  
7 and geographic and demographic information for covered individuals  
8 as permitted in the Oklahoma Health Care Transparency Initiative Act  
9 of 2026, and provider files to the state-designated entity in  
10 accordance with standards and procedures promulgated by the Board.

11 2. To the extent the excluded health benefit plan, person, or  
12 entity voluntarily submits data described in this subsection to the  
13 state-designated entity, the health benefit plan, person, or entity  
14 shall comply with all requirements of the Oklahoma Health Care  
15 Transparency Initiative Act of 2026, other than subsection B of this  
16 section, including, but not limited to, compliance with applicable  
17 state and federal data privacy and security laws.

18 D. 1. The State Department of Health shall submit all public  
19 health data and vital statistics data collected by the Department  
20 under Title 63 of the Oklahoma Statutes to the state-designated  
21 entity for integration into the Oklahoma Health Care Transparency  
22 Initiative database created under this section including, but not  
23 limited to, data collected regarding hospital discharge and  
24

1 emergency department records for the uninsured, birth and death  
2 records, and disease registry data.

3 2. The data submitted under paragraph 1 of this subsection  
4 shall be assigned a unique identifier and may be used in accordance  
5 with the Oklahoma Health Care Transparency Initiative Act of 2026.

6 SECTION 6. NEW LAW A new section of law to be codified  
7 in the Oklahoma Statutes as Section 1-134.4 of Title 63, unless  
8 there is created a duplication in numbering, reads as follows:

9 A. Data and other information submitted under Section 5 of this  
10 act shall be treated as confidential and shall be exempt from  
11 disclosure as a record under the Oklahoma Open Records Act as  
12 defined in Section 24A.3 of Title 51 of the Oklahoma Statutes and  
13 are not subject to subpoena except to the extent provided in the  
14 Oklahoma Insurance Code.

15 B. Data and other information submitted under Section 5 of this  
16 act may only be collected, stored, used, disclosed, or released in  
17 compliance with applicable state and federal data privacy and  
18 security law and data governance policies established by the state-  
19 designated entity for health information exchange, and where such  
20 data or other information constitute protected health information,  
21 in compliance with the Health Insurance Portability and  
22 Accountability Act (HIPAA).

23 C. Data and other information in the Oklahoma Health Care  
24 Transparency Initiative may, to the extent consistent with data

1 governance policies established by the state-designated entity, be  
2 available:

3 1. When disclosed in a form and manner that ensures the privacy  
4 and security of protected health information as required by state  
5 and federal laws, as a resource to insurers, employers, purchasers  
6 of health care, researchers, state agencies, and health care  
7 providers to allow for assessment of health care utilization,  
8 expenditures, and performance in this state, including, but not  
9 limited to, as a resource for hospital community health needs  
10 assessments; and

11 2. To state programs regarding health care quality and costs  
12 for use in improving health care in the state, subject to state and  
13 federal privacy laws or limiting access to limited data sets.

14 D. Data and other information in the Oklahoma Health Care  
15 Transparency Initiative shall not be used to disclose trade secrets  
16 of submitting entities.

17 E. Notwithstanding any other section of law, the Oklahoma  
18 Health Care Transparency Initiative shall not be used to publicly  
19 disclose any data or other information that contains direct personal  
20 identifiers or that is reasonably likely to identify a covered  
21 individual when combined with other available information.

22 F. The Oklahoma Health Care Transparency Initiative Act of 2026  
23 shall not be construed to supersede, limit, amend, or abrogate any  
24

1 data privacy or security law, rule, or policy and shall be  
2 implemented in a manner consistent with HIPAA.

3 SECTION 7. NEW LAW A new section of law to be codified  
4 in the Oklahoma Statutes as Section 1-134.5 of Title 63, unless  
5 there is created a duplication in numbering, reads as follows:

6 A. Except for state or federal agencies that are submitting  
7 entities, a submitting entity that fails to submit data as required  
8 by the Oklahoma Health Care Transparency Initiative Act of 2026 or  
9 the rules promulgated by the Oklahoma Health Care Authority Board  
10 may be subject to a fine assessed by the Insurance Department.

11 B. The Insurance Commissioner shall adopt a schedule of fines  
12 not to exceed One Thousand Dollars (\$1,000.00) per day for each day  
13 the violation occurs, to be determined by the severity of the  
14 violation.

15 C. A fine assessed under this section may be remitted or  
16 mitigated upon such terms and conditions as the Insurance  
17 Commissioner considers proper and consistent with public health and  
18 safety.

19 D. Of the proceeds from fines remitted under this section, the  
20 Insurance Department shall retain a portion of such proceeds  
21 necessary to cover the cost to the Department of administering the  
22 assessment and collection of such fines, and the Department shall  
23 remit the remainder of the proceeds to the Oklahoma Health Care  
24 Authority. The Authority may only use proceeds from fines assessed

1 under this section to fund operations of the Oklahoma Health Care  
2 Transparency Initiative.

3 SECTION 8. NEW LAW A new section of law to be codified  
4 in the Oklahoma Statutes as Section 6575 of Title 36, unless there  
5 is created a duplication in numbering, reads as follows:

6 A. There is hereby created within the Oklahoma Insurance  
7 Department, the Health Care Cost Transparency Board.

8 B. The Board shall utilize information derived from the All-  
9 Payor Claims Database established pursuant to the Oklahoma Health  
10 Care Transparency Initiative to evaluate statewide health care  
11 spending trends, utilization patterns, and cost growth across payer  
12 types operating in this state.

13 C. The Health Care Cost Transparency Board shall consist of  
14 sixteen (16) members, as follows:

15 1. The Insurance Commissioner, or designee, who shall serve as  
16 chair;

17 2. The Chief Executive Officer of the Oklahoma Health Care  
18 Authority, or designee;

19 3. The Commissioner of the State Department of Health, or  
20 designee;

21 4. One representative of a licensed commercial health insurer,  
22 appointed by the Insurance Commissioner;

23 5. One representative of employers or large purchasers of  
24 health care, appointed by the Governor;

1        6. One representative of a hospital or health system, appointed  
2 by the Oklahoma Hospital Association;

3        7. One representative of a rural health organization, appointed  
4 by the Health Care Workforce Training Commission;

5        8. One representative recommended by the Oklahoma Academy of  
6 Family Physicians;

7        9. One representative recommended by the Oklahoma Chapter of  
8 the American Academy of Pediatrics;

9        10. One independent primary care provider practicing in  
10 Oklahoma;

11       11. One consumer advocate, appointed by the Governor;

12       12. One health care economist or data analytics expert,  
13 appointed by the Speaker of the Oklahoma House of Representatives;

14       13. One member appointed by the President Pro Tempore of the  
15 Oklahoma State Senate;

16       14. One representative recommended by the Oklahoma Primary Care  
17 Association;

18       15. One representative recommended by the Oklahoma Osteopathic  
19 Association; and

20       16. One representative recommended by the state-designated  
21 entity and serving as an active director of the state-designated  
22 entity Board.

23       D. Members appointed to the Board shall serve three-year  
24 staggered terms and may be reappointed.



1 E. The Board shall meet at least quarterly and may establish  
2 advisory or technical committees as necessary.

3 F. The Health Care Cost Transparency Board shall analyze data  
4 derived from the All-Payer Claims Database established pursuant to  
5 this act to:

6 1. Evaluate statewide health care spending and utilization  
7 patterns;

8 2. Monitor health care cost growth across payer types;

9 3. Measure the share of total health care expenditures  
10 allocated to primary care services; and

11 4. Provide recommendations to the Governor and the Legislature  
12 regarding policies to improve health care affordability,  
13 transparency, and investment in primary care.

14 G. The Health Care Cost Transparency Board shall work  
15 collaboratively with the state-designated entity to establish the  
16 parameters and definitions used to measure primary care expenditures  
17 in this state.

18 H. The All-Payer Claims Database established pursuant to the  
19 Oklahoma Health Care Transparency Initiative shall measure statewide  
20 primary care spending using the parameters established by the Board  
21 in collaboration with the state-designated entity.

22 I. For purposes of measuring primary care expenditures pursuant  
23 to this section, "primary care services" shall be defined using  
24 nationally recognized definitions of primary care spending

1 measurement, including but not limited to those utilized by the  
2 Centers for Medicare and Medicaid Services and the Primary Care  
3 Collaborative. The Board may further refine such definitions by  
4 rule provided that such refinements remain consistent with  
5 nationally recognized standards.

6 J. The Health Care Cost Transparency Board shall submit an  
7 annual report to the:

- 8 1. Governor;
- 9 2. President Pro Tempore of the Senate; and
- 10 3. Speaker of the House of Representatives.

11 K. The report shall summarize:

- 12 1. Statewide health care spending trends;
- 13 2. The share of total health care expenditures allocated to  
14 primary care services;
- 15 3. Health care cost growth across payer types; and
- 16 4. Policy recommendations to improve health care affordability,  
17 transparency, and primary care investment.

18 L. The first report of the Health Care Cost Transparency Board  
19 shall be due on or before December 1, 2027, and annually thereafter.

20 SECTION 9. AMENDATORY 51 O.S. 2021, Section 24A.3, as  
21 last amended by Section 1, Chapter 404, O.S.L. 2025 (51 O.S. Supp.  
22 2025, Section 24A.3), is amended to read as follows:

23 Section 24A.3. As used in the Oklahoma Open Records Act:  
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1        1. "Record" means all documents including, but not limited to,  
2 any book, paper, photograph, microfilm, data files created by or  
3 used with computer software, computer tape, disk, record, sound  
4 recording, film recording, video record or other material regardless  
5 of physical form or characteristic, created by, received by, under  
6 the authority of, or coming into the custody, control or possession  
7 of public officials, public bodies or their representatives in  
8 connection with the transaction of public business, the expenditure  
9 of public funds or the administering of public property. Record  
10 shall also mean applications and other documents related to  
11 licensure matters that are filed of record in a district court,  
12 including, but not limited to, marriage licenses, process server  
13 licenses, closing out sale licenses, transient merchant licenses,  
14 pool hall licenses, and bail bondsmen registration. Record does not  
15 mean:

- 16            a. computer software, ~~or~~
- 17            b. nongovernment personal effects, or
- 18            c. data or other information submitted to the state-  
19                designated entity for health information exchange  
20                under Section 1-133 of Title 63 of the Oklahoma  
21                Statutes or under the Oklahoma Health Care  
22                Transparency Initiative Act of 2026;

23        2. "Public body" shall include, but not be limited to, any  
24 office, department, board, bureau, commission, agency, trusteeship,

1 authority, council, committee, trust or any entity created by a  
2 trust, county, city, village, town, township, district, school  
3 district, fair board, court, executive office, advisory group, task  
4 force, study group or any subdivision thereof, supported in whole or  
5 in part by public funds or entrusted with the expenditure of public  
6 funds or administering or operating public property, and all  
7 committees, or subcommittees thereof. Except for the records  
8 required by Section 24A.4 of this title, public body does not mean  
9 judges, justices, the Council on Judicial Complaints, the  
10 Legislature or legislators. Public body shall not include an  
11 organization that is exempt from federal income tax under Section  
12 501(c)(3) of the Internal Revenue Code of 1986, as amended, and  
13 whose sole beneficiary is a college or university, or an affiliated  
14 entity of the college or university, that is a member of The  
15 Oklahoma State System of Higher Education. Such organization shall  
16 not receive direct appropriations from the Legislature. The  
17 following persons shall not be eligible to serve as a voting member  
18 of the governing board of the organization:

19           a.     a member, officer, or employee of the Oklahoma State  
20                    Regents for Higher Education,

21           b.     a member of the board of regents or other governing  
22                    board of the college or university that is the sole  
23                    beneficiary of the organization, or  
24

c. an officer or employee of the college or university  
that is the sole beneficiary of the organization;

3. "Public office" means the physical location where public bodies conduct business or keep records;

4. "Public official" means any official or employee of any public body as defined herein; and

5. "Law enforcement agency" means any public body charged with enforcing state or local criminal laws and initiating criminal prosecutions including, but not limited to: police departments; state and local fire marshals when investigating potential violations of federal, state, or local criminal laws or when acting on behalf of a law enforcement agency; county sheriffs; the Department of Public Safety; the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control; the Alcoholic Beverage Laws Enforcement Commission; and the Oklahoma State Bureau of Investigation.

Passed the House of Representatives the 25th day of March, 2026.

Presiding Officer of the House  
of Representatives

Passed the Senate the            day of            , 2026.

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Presiding Officer of the Senate